

A first home buyer's guide to choosing a suburb

Coffee economics – the story of espresso and real estate

Cafés have become a percolator for property prices; when an espresso joint with a good soy chai latte on the menu opens in a neighbourhood, a real estate boom is likely brewing. The relationship between trendy cafés and property price rises is a chicken-and-(perfectly poached)-egg situation, as it's difficult to determine which comes first. American real estate marketplace Zillow calls this the 'Starbucks Effect'; if the coffee chain opens an outlet in a US neighbourhood, it's a boon for locals. The value of houses within 500 metres of a Starbucks rises faster than those outside this barista boundary, research has found.

In Australia, where coffee is much more sacred, the metrics are more anecdotal. A goliath like Starbucks isn't part of the equation, but a good independent cold-drip joint, where the barista wears a handcrafted leather apron, is. The good news for first home buyers is that café owners not only have a nose for an aromatic bean, but are also freakish predictors of the 'next big thing' in real estate. When an excellent café opens in a neighbourhood, buying into the next suburb or two over – if that's what your budget allows – is a tactical move, due to the spillover effect.

Take a drive on a weekend to your chosen home-hunting suburbs and observe which cafés are full to the brim with espresso lovers. Then reset your car's GPS to the surrounding suburbs and cruise the real estate on offer. These areas are likely your second or third choice to buy into, but they are also your sweet spot, where prices are more agreeable to your budget.

A rising suburb is one that has growing house prices – a return on your asset, yet within your budget – and plenty of places that define life's simple pleasures. Thankfully for first home buyers, the epicentre of epicurean Australia is shifting outwards from the big smoke.